

IBKR – Short selling requirements

1. Initial Margin (opening the short)

For a standard Reg-T margin account, a short sale generally requires **150% of the short position value**:

- 100% = proceeds from the short sale
- 50% = additional equity you must have

Example:

- Short 100 shares at \$100
- Position value = \$10,000

Required collateral:

- \$10,000 short-sale proceeds
- \$5,000 of your own equity

Total = **\$15,000 (150%)**.

2. Maintenance Margin

After the position is established, IBKR switches to a maintenance requirement.

This is **not fixed at 30% or 50% for every stock**. It varies based on:

- Stock price
- Liquidity
- Volatility
- Market capitalization
- IBKR's internal risk model

A large-cap stock might require around 30% maintenance, while a volatile small-cap stock could require 100%, 300%, or even more.

3. Short Sale Proceeds Are Restricted

A common misconception is that if you short \$10,000 worth of stock, you can immediately use the \$10,000 cash.

Generally, the short-sale proceeds are held as collateral and do not function like freely available cash. Your ability to open new positions depends on your available funds and margin excess.

4. Borrow Fees

Besides margin, you may pay:

- Stock borrow fee
- Possible short-stock interest charges

The borrow rate can range from near zero for liquid large-cap stocks to triple-digit annualized rates for crowded shorts.

5. Portfolio Margin vs Reg-T

If you have a sufficiently large account and qualify for **Portfolio Margin**, IBKR uses a risk-based model instead of the standard Reg-T formulas.

This can:

- Reduce margin requirements for diversified portfolios
- Increase requirements for concentrated or risky shorts

6. How to Check the Exact Requirement Before Entering a Trade

In IBKR:

- Enter the short order.
- Open the **Order Preview** window.
- IBKR will show:
 - Initial Margin Impact
 - Maintenance Margin Impact
 - Excess Liquidity After Trade

This is the most reliable way because the requirement is stock-specific and can change daily.